

Gutz Evaluation of Lifecare Advantage

Dave Gutz 2025 - 04-08

The Main Assumptions

LC	Single	Double
Entrance	\$ 855,000	\$ 900,000
Monthly	\$ 8,100	\$ 9,600
AL Entr	\$ 199,500	? again ?

- AL prepaid for LC?
- AL entrance fee for 2nd resident?

CC	Single	Double
Entrance	\$ 442,000	\$ 481,000
Monthly	\$ 3,550	\$ 3,750
AL Entr	\$ 199,500	? again ?

Lifecare	Independent	Assisted
Both in Unit 304	\$ 9,600	\$ 0
1 in #304 1 in AL	\$ 8,100	\$ 9,200 ? prepaid
Both in 1 BR AL	\$ 0	\$ 13,500 ?
1 in 1 BR AL	\$0	\$ 10,000 ?

Continuing Care	Independent	Assisted
Both in Unit 304	\$ 3,750	\$ 0
1 in #304 1 in AL	\$ 3,550	\$ 9,200
Both in 1 BR AL	\$ 0	\$ 13,500
1 in 1 BR AL	\$0	\$ 10,000

Summary – We can have Lifecare

- Starting with \$6.3M gives us ‘room to maneuver’ **We’ll have portfolio growth despite Lifecare**
- The more assisted living time, the more the benefit of Lifecare. And at short assisted living time Lifecare is a loss.
- Break-even years depend on time spent in Independent living

Years Independe	Break-even Pt	Mean Worth at End	Range
5	4 yrs	Approx \$ 6.3M	
10	5 yrs	Approx \$ 6M	
15	6 yrs	Approx \$ 6M	

- Decision is easier given initial worth. Differences between CC and LC are smaller than uncertainty of markets – as you’ll see

Variation Story

- Lifecare as an investment will usually have positive ROI
 - So does Continuing Care - not much different there. Both will likely gain 3x
 - We will likely lose \$1M compared to CC
 - But that isn't much difference compared to market uncertainty 300%

Intangibles

- Lifecare offers shelter from markets during assisted living
- Lifecare offers shelter from the David Gutz Trust during assisted living (maybe Suzanne's changes aren't needed anymore)

David and Katherine's Monetary Split

Kathy's share based on 30% housing and her normal share for entering CC

Kathy savings \$ 861,000

- David savings \$ 4,808,000

1/3 of CC Entrance

- CC 2:1 → \$ 481,000 = \$ 320,700 + \$ 160,300

- LC → \$ 900,000 = \$ 739,700 + \$ 160,300

30% of take-home

- Kathy take-home \$ 4,219 → < \$ 1,265 housing

- David take-home \$ 9,105. His share \$ 8,335

- \$ 9,600 = \$ 8,335 + \$ 1,265

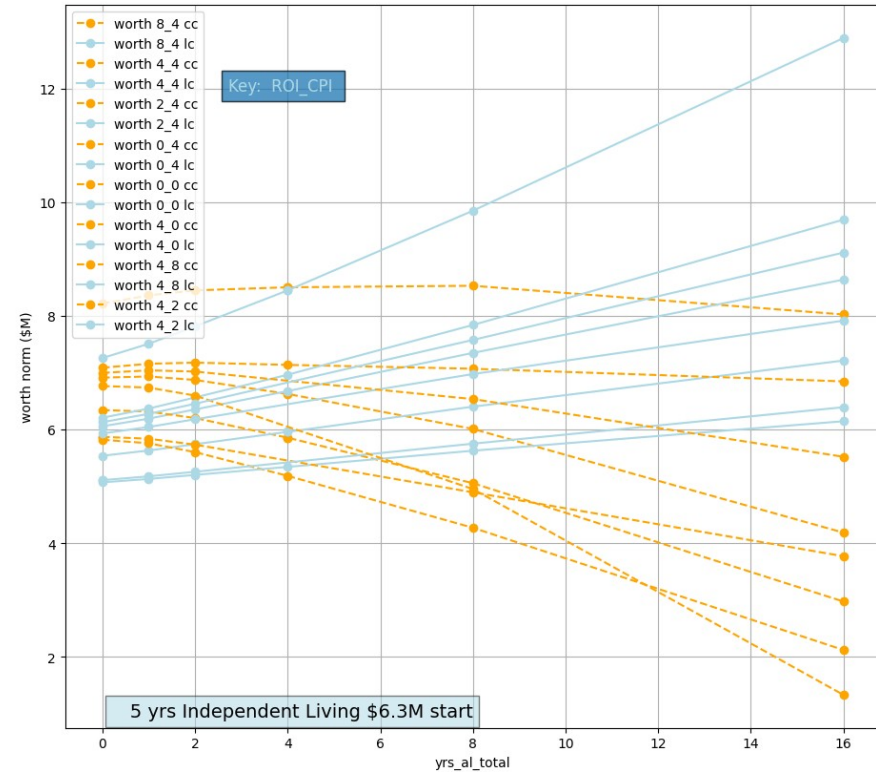
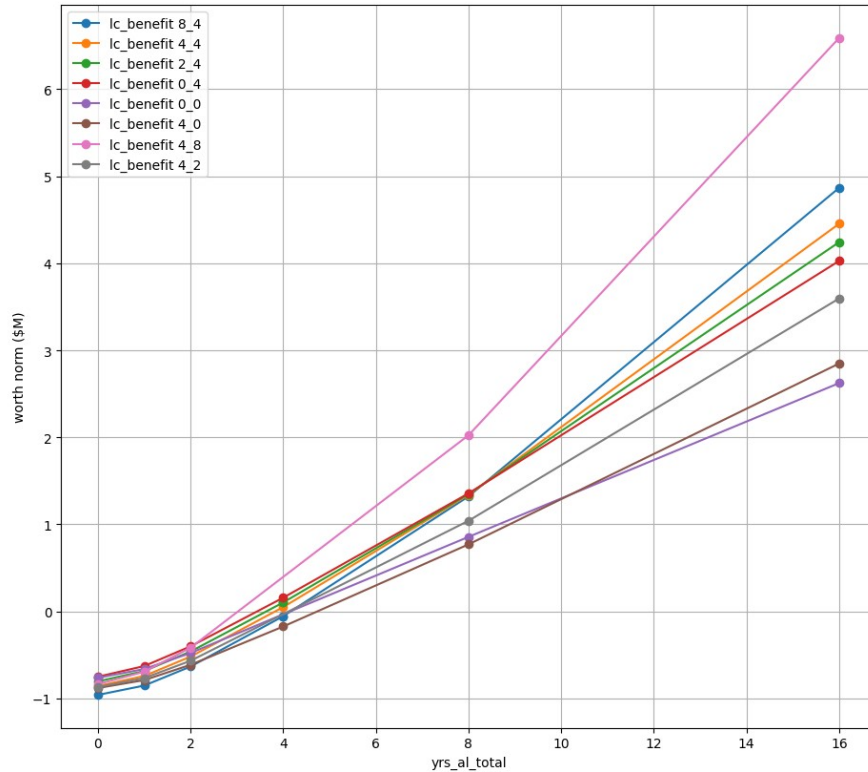
- We both need to check if monthly LPL hits are needed

CC	Single	Double
Entrance	442,000	481,000
Monthly	3,550	3,750

LC	Single	Double
Entrance	855,000	900,000
Monthly	8,100	9,600

5 yrs Independent

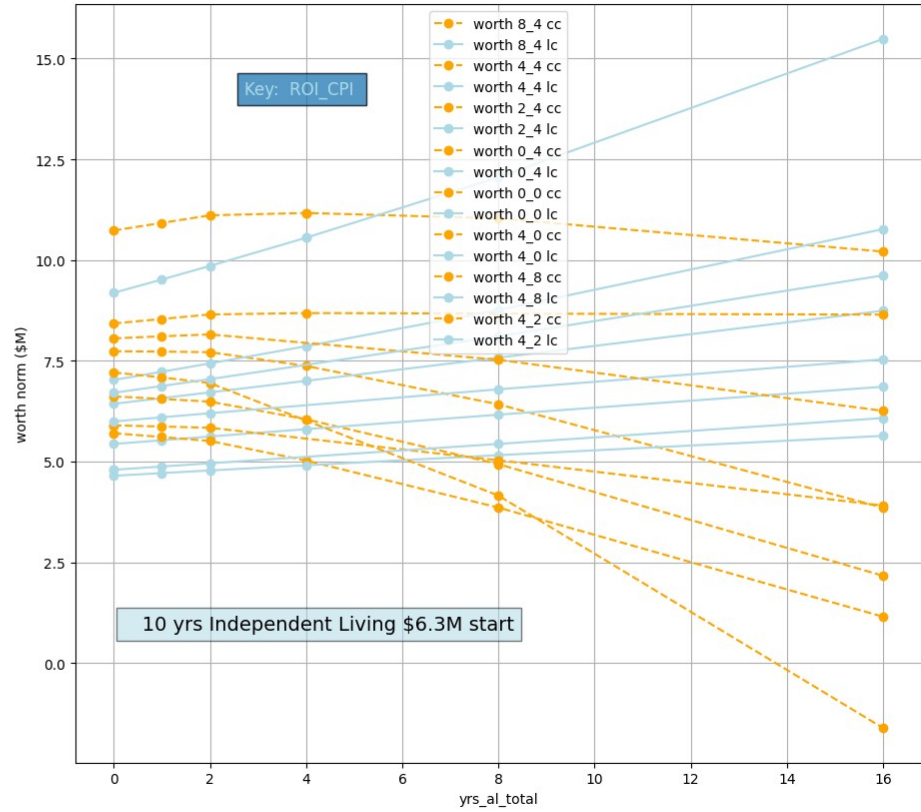
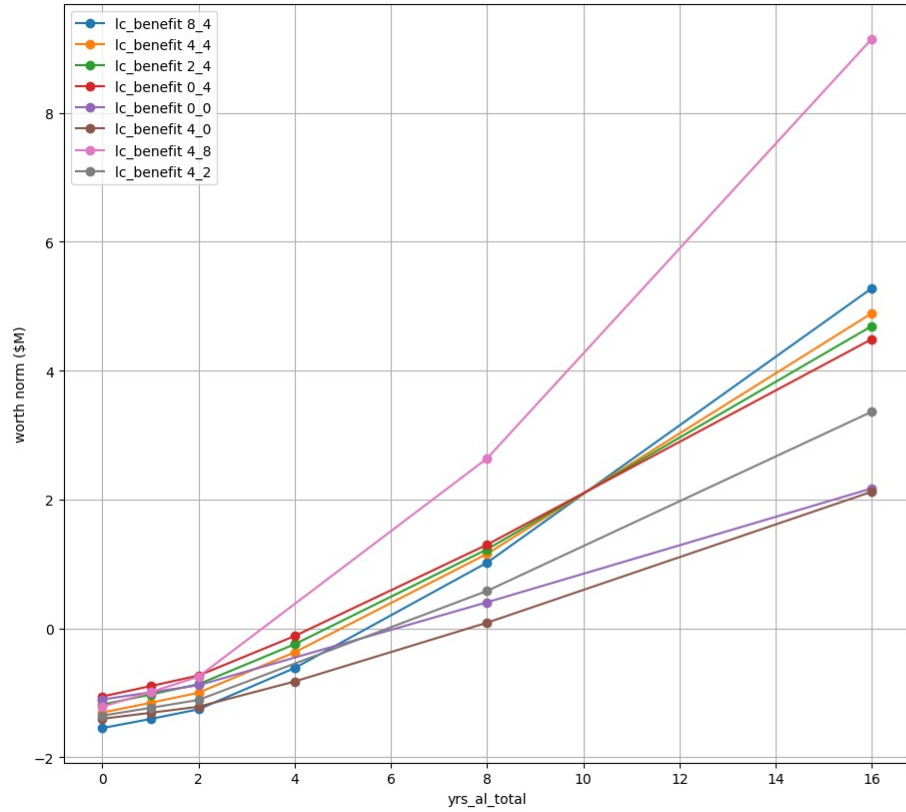
LC benefit and Worth 5 yrs Independent Living \$6.3M start



All \$ normalized to \$2026

10 yrs Independent

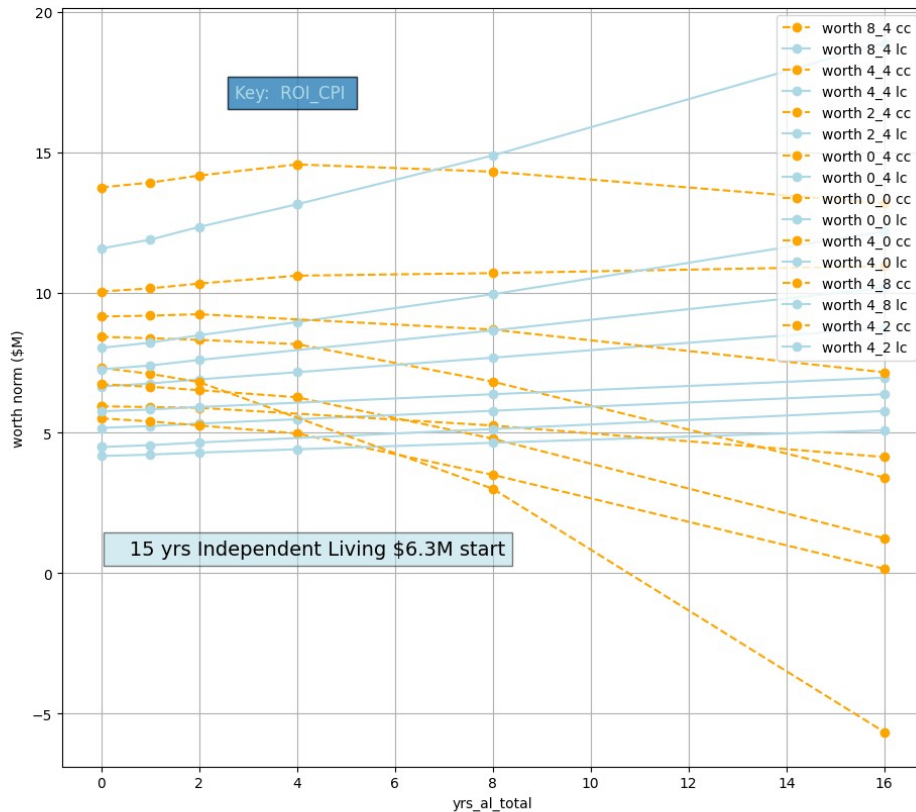
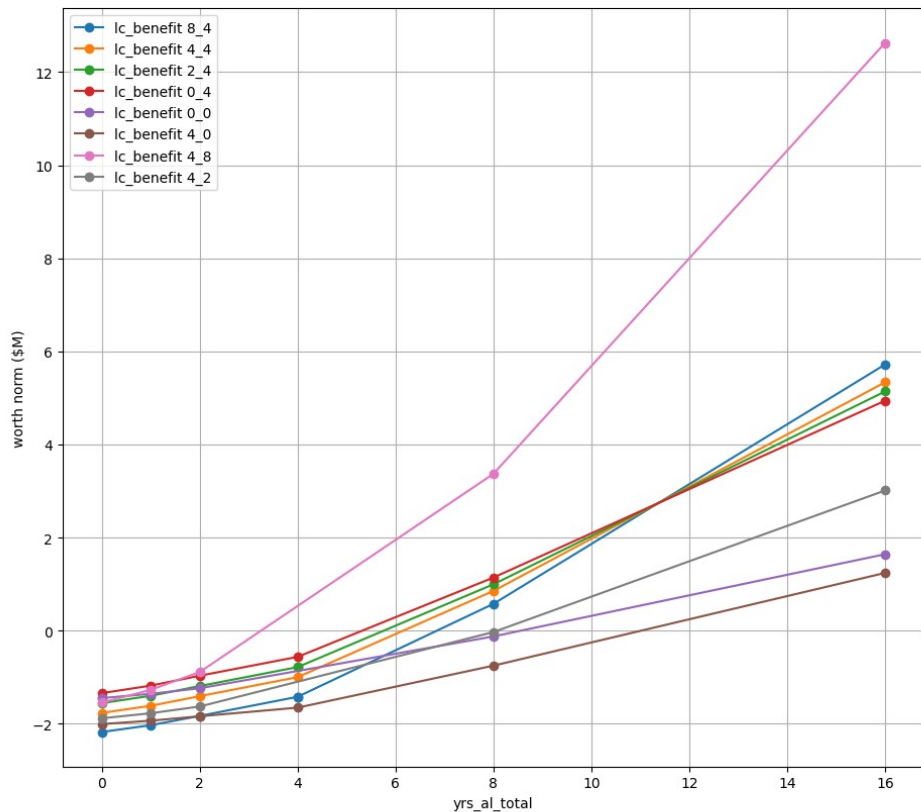
LC benefit and Worth 10 yrs Independent Living \$6.3M start



All \$ normalized to \$2026

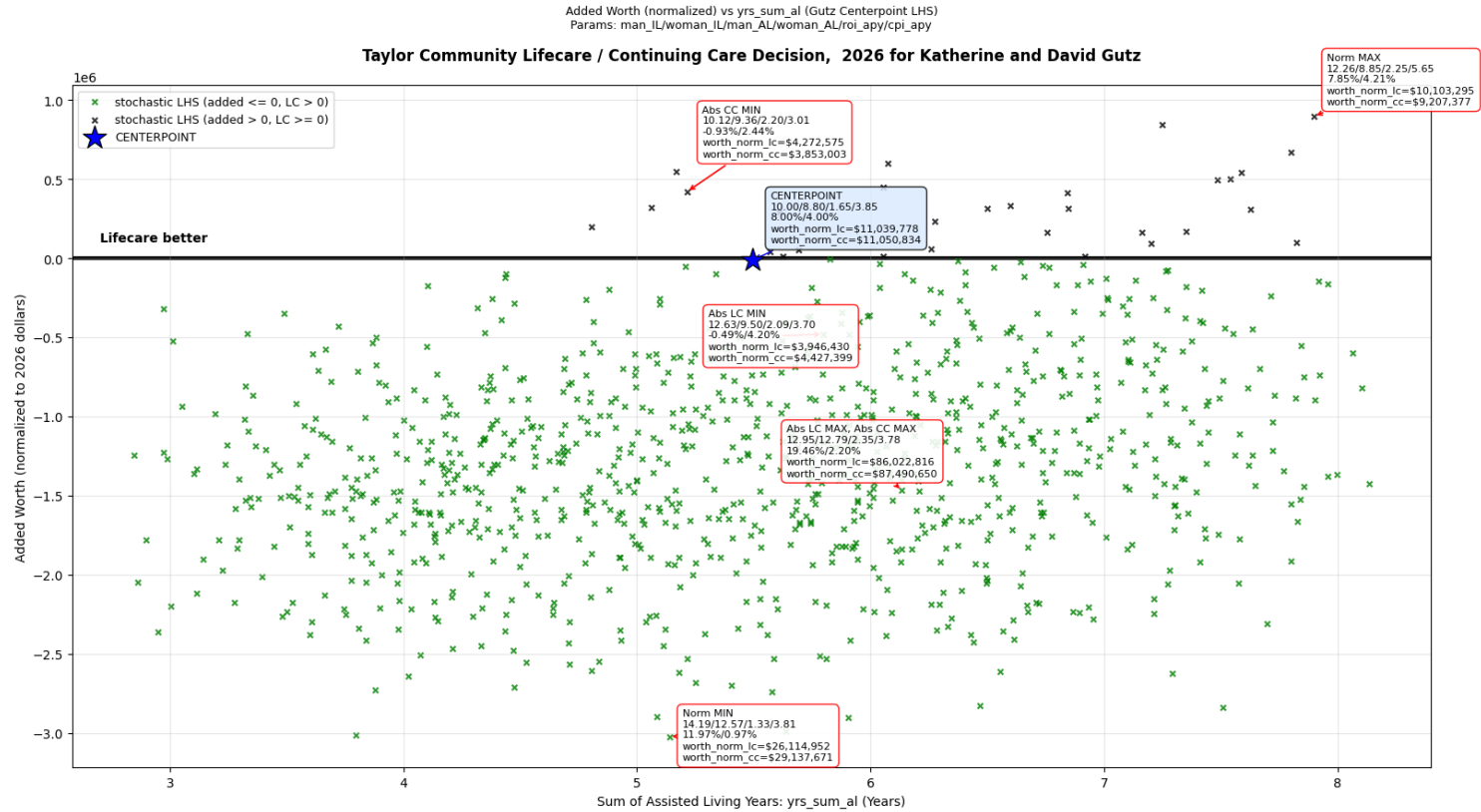
15 yrs Independent

LC benefit and Worth 15 yrs Independent Living \$6.3M start



All \$ normalized to \$2026

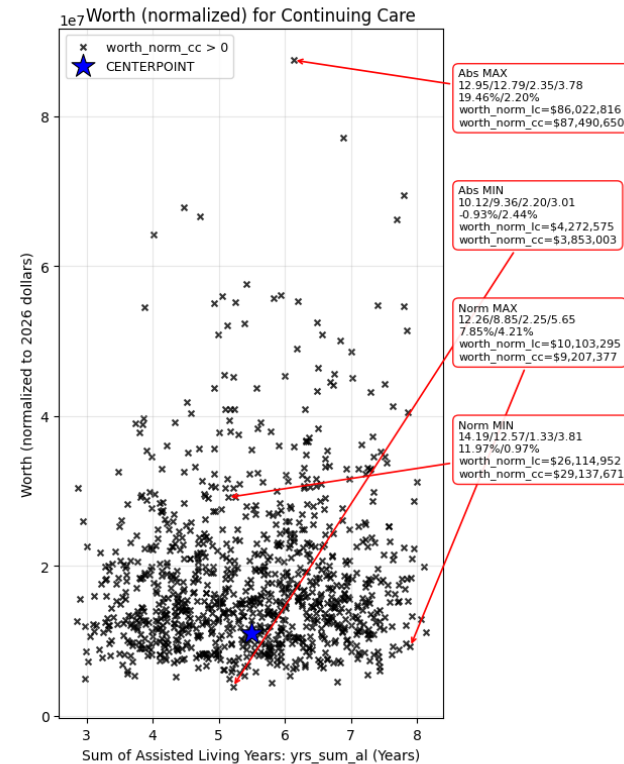
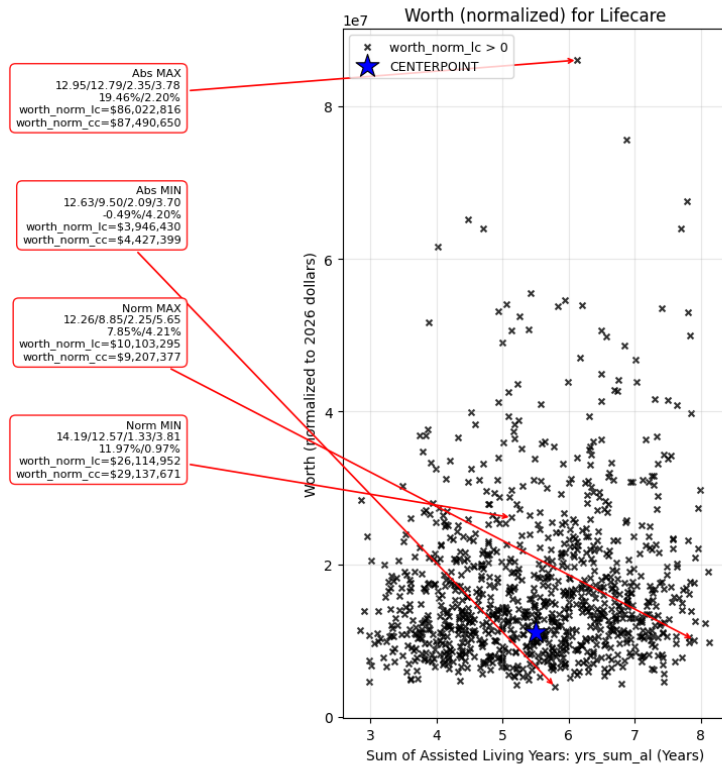
Relative Returns



All \$ normalized to \$2026

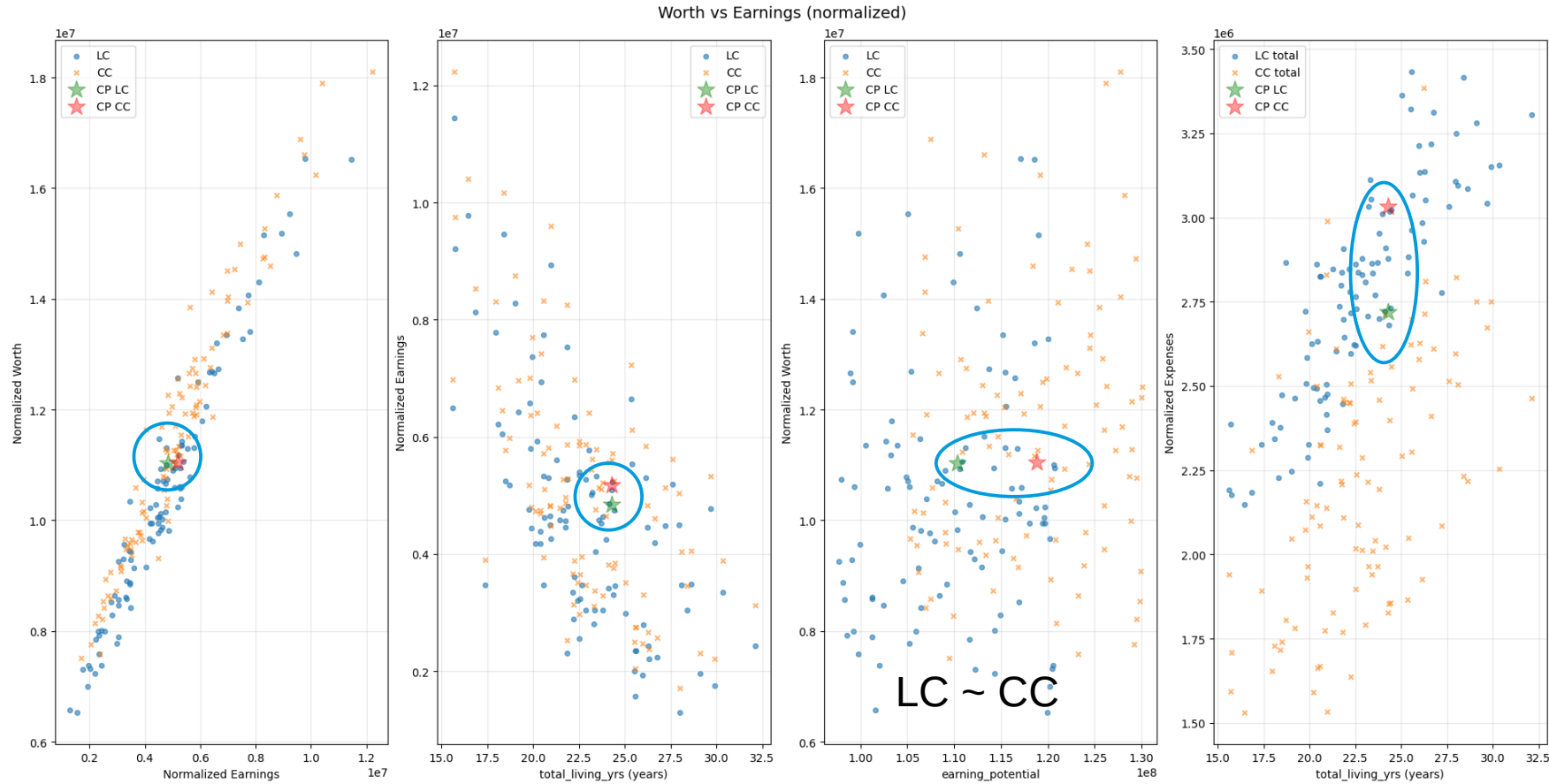
Absolute Returns

Taylor Community Lifecare / Continuing Care Decision, 2026 for Katherine and David Gutz
Normalized Worth vs yrs_sum_al



All \$ normalized to \$2026

Trends – LC and CC close, within wild markets



HUGE
MARKET
VARIATION

All \$ normalized to \$2026

Repeat Trends for Fixed IL, AL yrs

